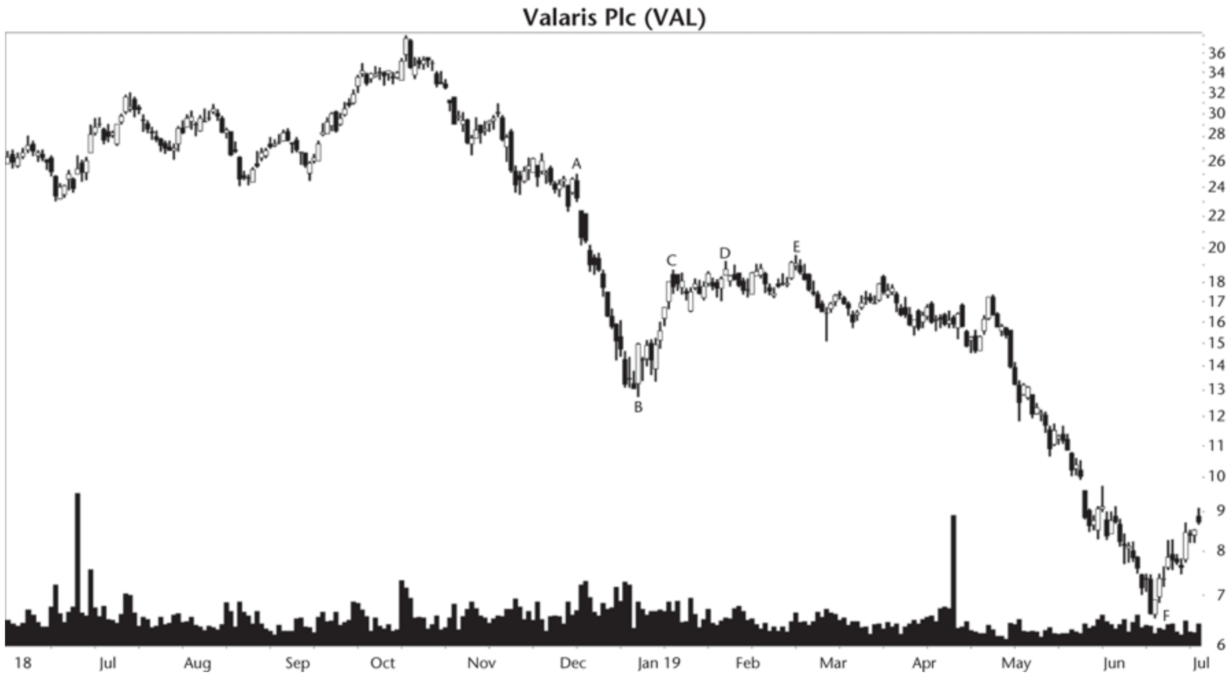

Figure 70.3 This extended V-bottom doesn't see price rise much after the upward breakout at D.

These types of failures are rare, happening between 7% (bear market) and 10% (bull market) of the time. That failure rate is rare until you find one grabbing onto your trade and holding on like a pit bull.

Statistics

Table 70.2 shows general statistics.

Number found. Even though I automated finding some of these patterns, I didn't find many: 479, but that includes downward breakouts. There were too few of those, so I limited the presentation to upward breakouts in bull and bear markets. I found patterns in data from August 1991 to October 2019, but not all stocks covered the entire period, and some no longer trade.

Reversal (R), continuation (C) occurrence. Most of the patterns acted as reversals. Because the breakout is upward for this pattern, the inbound price trend must be downward to make the pattern act as a reversal. The inbound downtrend does not include the left side of the V.

Reversal/continuation performance. The performance difference between reversals and continuations is a close tie, really. The performance